NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 19.08.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA)No.9/230/AMR/2022		230	Bliss Hotels Limited (Demerged Company) Vibhooti Hotels Private Limited (Resulting Company)

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA)No.9/230/AMR/2022 is allowed, vide separate orders.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA) No.9/230/AMR/2022
Connected with
CA (CAA) No.6/230/AMR/2022

In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation of **M/s.BLISS HOTELS LIMITED**, the Demerged Company (having its registered office in Andhra Pradesh) by **M/s.VIBHOOTI HOTELS PRIVATE LIMITED**, the Resulting Company (having its registered office in Andhra Pradesh)

In the matter of

M/s. Bliss Hotels Limited,
Registered office at 19-3-45,
Ramanuja Circle Renigunta Road,
Tirupati – 517501,
Andhra Pradesh.

... Petitioner/Demerged Company

AND

M/s. Vibhooti Hotels Private Limited,
Registered office at Survey No.260/1B,
D.No.9-9-1, Tanapalli Cross,
Tirupathi, Chittoor – 517503,
Andhra Pradesh.

... Petitioner/Resulting Company

Date of pronouncement of order: 19.08.2022

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

For the Petitioners: Mr. Jagannatham Puttaparthi, Advocate

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Petition is filed by M/s. Bliss Hotels Limited (Demerged Company) and M/s. Vibhooti Hotels Private Limited (Resulting Company) under Sections 230 & 232 of the Companies Act, 2013 seeking to permit the Demerged Company for Scheme of Arrangement (the Scheme for short) with the Resulting Company. Both the Petitioner Companies' registered offices are situated at Andhra Pradesh.

2. Briefly the facts are as follows:

   i. The Authorised Share Capital of the Petitioner/Demerged Company as on 31.03.2021 is Rs.15,30,00,000/- divided into 1,53,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.13,10,10,000/- divided into 1,31,01,000 equity shares of Rs.10/- each. The main objects of Demerged Company are to acquire, establish, promote, run, manage, lease and otherwise carry on the business of hotel,

restaurants, café, tavern, rest houses, tea and coffee houses, beer houses, bars, flight caterers, lodging house keepers, refreshment rooms, night club, cabarets, swimming pools, Turkish baths etc.

ii. The Authorised Share Capital of the Resulting Company as on 31.03.2021 is Rs.1,00,00,000/- divided into 10,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.25,00,000/- divided into 2,50,000 equity shares of Rs.10/- each. The main objects of Transferee Company are to carry on all the business of hotels, restaurants, cafes, holiday camps, resorts, taverns, beer-houses, refreshment rooms and swimming pools, lodging or apartment house keepers, licensed wine, beer, spirit merchants, brewers, distillers, bakers and confectioners etc.

iii. The nature of risk and return involved in the business is distinct for both divisions. Hence, transfer of one division would enable the divisions to run and operate independently and in a more cohesive manner so as to run more profitably and attract potential collaborators for the future growth and development of business by both the Petitioner Companies; the transfer and vesting of the demerged undertaking of the Demerged Company to the Resulting Company through this Scheme is with a view to unlock the economic value of both the companies and the transfer of

undertaking would provide greater flexibility and visibility on the operational and financial performance of both the divisions and would provide higher degree of independence as well as accountability.

iv. The Board of Directors of the Petitioner Companies approved their scheme at their respective board meetings held on 25.03.2022. The appointment date is 01.04.2021. Consent, by way of Affidavit and No Objection to the Scheme supported by Board, was also obtained from all the Shareholders of the Petitioner Companies and Creditors of the Demerged Company.

v. The Tribunal by order dated 31.05.2022 dispensed with the requirement of holding meetings of all Equity Shareholders of the Petitioner Companies and Secured & Unsecured Creditors of the Demerged Company. The scheme of arrangement was approved by the board of directors and others.

3. Heard the Learned Counsel appearing for the Petitioner and RD and perused the records.

4. The Regional Director (RD) filed his report dated 27.07.2022 and raised the following objections and the Petitioner Company replied to the same as detailed below:

S.No.	RD's Observations	The Petitioner Companies gave undertaking by way of affidavit dated 29.07.2022
1	The Directorate has received letter dated 29.06.2022 from the ROC, Andhra Pradesh by pointing out certain observations as under:- a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to preserve its books of accounts and papers and records and shall not be disposed of without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.	Undertaking given by the Petitioner Companies: a. To preserve the books of accounts, papers and records and shall not be disposed of without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013. b. To ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory

	b) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	liabilities in any manner. c. To comply with Rule 17(2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of Scheme to be filed in Form No. INC-28 with the concerned office of the RoC by the Petitioner Company. d. To file an application with RoC indicating the revised authorized capital and proof of paying prescribed fees due if any on revised capital after setting of that fee already paid
	c) The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies, involved in the scheme to comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules,	

	2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of RoC by the Petitioner Companies.	will be filed with the RoC. 2. The Petitioner Companies undertake that as and when the demand arises from the Income Tax Department or others, the Petitioner Companies are ready to pay the dues. 3. The appointed date for the proposed Scheme of Arrangement is 01.04.2021 and as per the Scheme on approval of the Scheme by this Hon'ble Tribunal, the paid up capital of Demerged Company will get reduced to Rs.6.56 Crores and the statutory requirement to appoint Company Secretary
	d) The Regional Director (RD) sought this Tribunal to direct the Resulting Company to file an application with RoC indicating the revised authorised capital and proof of paying prescribed fees due on revised capital after setting of that fee already paid by Demerged Company.	
2	The Regional Director (RD) sought this Tribunal to	

	direct the Petitioner Companies to furnish an undertaking that as and when the demand arises from the Income Tax Department, Petitioner Companies are ready to pay the dues.	would not be applicable as per the provisions of the Section 203 of the Act, read with Companies (Appointment and Remuneration of Managerial Personal) Rules, 2014 and however the Demerged Company propose to appoint Company Secretary within three months by inviting candidature by way of advertisement in the newspapers.
3	Paid up capital of the Demerged Company is more than Rs.10 Crore and there is no whole time Company Secretary in the Company, thereby violated the provisions of Section 203 of the Companies Act, 2013. Company has been directed to file an adjudication application before the Registrar of companies, Andhra Pradesh and to furnish the proof of	

	filing the same before the scheme is allowed.	
4	Further the Regional Director (RD) sought this Tribunal to direct Demerged Company to comply with Rule 25A(1) of the Companies (Incorporation) Rules, 2014 before considering the approval of the Scheme.	

5. The Regional Director (RD), after considering the said reply by the Petitioner, did not raise any further objection.

6. Considering the entire facts and circumstances of the case and on perusal of the Scheme, report of the Regional Director and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Arrangement appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

7. The Company Petition is allowed with the following directions:-

a) The Scheme of Arrangement (Copy of the Scheme enclosed at Page No.118 to 155 of the Petition) is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.04.2021 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal.

The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Arrangement, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Arrangement under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

8. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.9/230/AMR/2022 stands disposed of.

Sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu